BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE COMPANY OF OKLAHOMA (PSO) FOR AN ORDER OF THE COMMISSION PREAPPROVING THE ACQUISITION AND COST RECOVERY OF GENERATING FACILITIES TO ALLOW PSO TO MEET ITS OBLIGATIONS PURSUANT TO OAC 165:35-25-3(e).	)	CASE NO. PUD2025-000064

EXCEPTIONS OF THE PUBLIC UTILITY DIVISION TO THE REPORT AND RECOMMENDATION OF THE ADMINISTRATIVE LAW JUDGE

COMES NOW the Public Utility Division ("PUD"), by and through the undersigned counsel, and respectfully submits this Exception to the Report and Recommendation of the Administrative Law Judge ("ALJ Report") filed on April 6, 2026.

PUD is generally supportive of the overall recommendations of the ALJ Report with one exception and that is found in the fifth full paragraph located on page 21 wherein the ALJ states, "The ALJ further recommends that the Commission find PSO's resource planning model of only including 50% capacity for loads that have a signed Letter of Agreement ("LOA "), and 80% capacity for loads that have signed Contract for Electric Service (" CES") to be reasonable." This finding is included in paragraph 24 of the findings of fact and conclusions of law.

The ALJ is correct in her report beginning on page 18, that PSO does not include all the capacity from the new large loads in its forecast, the Company only includes 50% capacity for loads that have signed a LOA and 80% capacity for loads that have signed a CES.

PUD witness Frank Mossburg expressed concern that the vast majority of PSO's need is driven by just eleven (11) customers, and that the majority of those customers have yet to make significant financial commitments.[1] Mr. Mossburg explained that the level of commitment varies widely by agreement category. The LOAs require the bidder to pay some money, chiefly for long lead time equipment procurement, but the commitments are relatively small. In contrast, the CESs appear to have larger, more binding commitments.[2]

Mr. Mossburg testified that he determined that the commitments in these LOAs are relatively small. He testified that several caveats call into question the assumption that these costs represent a serious commitment and that these loads will therefore materialize. First, these costs are very small in comparison to the capital investment required. For example, a rough cost to build a data center is about $12 million per MW. Therefore, a 500 MW data center customer may be investing $6 billion. He stated that in this context, a $3.5 million investment is a small cost. Second, most of the cost is for high-demand equipment that can easily be re-sold or re-used if the project falls through, further reducing the customer's exposure. PSO confirmed that if such a situation

[1] Mossburg Responsive 15:5, 21:7-9.
[2] Mossburg Responsive 16:5-8.

occurred, they would look to see if the item is needed elsewhere on their system before seeking payment. Third, none of these agreements appear to require any contribution in aid of construction ("CIAC"). Fourth, if the project is cancelled, the developer only appears to owe costs spent by PSO. If equipment orders have not yet been placed, this would further reduce exposure. Fifth, nearly all agreements have some sort of ramping up mechanism, whereby capacity increases over time, meaning that even if the projects come online, they might not grow to the forecasted size.[3]

Mr. Mossburg explained that, in contrast, the customers signing CESs have more significant exposure. Each contract commits the developer to taking service with an initial term, minimum month bill amounts, and performance assurance security.[4]

Mr. Mossburg testified that the load of potential customers who have signed LOAs is both high and uncertain as commitments are much lower than for customers who have signed a CES. Moreover, many might be part of a speculative bubble. A utility that accounts for some discounting, as PSO does, runs the risk of procuring too much capacity and forcing ratepayers to foot the bill for stranded investments. Therefore, he proposed that a more reasonable forecast might include just existing load and the forecast load of customers who have signed a CES.[5]

Mr. Mossburg explained that, besides the level of commitment, there are other reasons to be wary of these forecast numbers. He testified that there is significant recent discussions over whether the current AI-driven data center buildout is a bubble. Per one recent report, 2025 AI-related capex for Microsoft, Amazon, Alphabet and Meta was about $332 billion, versus profits of just $28.7 billion. Per another report, in just three months of this year, 20 projects representing $98 billion in potential investment were blocked or delayed. In the latest in a series of reports, Georgia Power reported a net decrease of 6 GW in large load customer needs over one quarter.[6]

At the Hearing, Mr. Horeled testified that he was aware that the Sand Springs Planning Commission rezoned land for a data center and are now facing a lawsuit. He also testified that he is aware of complaints from citizens in Coweta and Claremore regarding data centers. Finally, he testified that he is aware of legislation that has been introduced regarding data centers, including one bill that calls for a moratorium on data centers and one that asks the Commission to create a separate classification for big energy customers.[7]

At the Hearing, Mr. Demmy testified that by utilizing Mr. Mossburg's own methodology of including only customers who have signed a CES, while also using PSO's updated load forecast, PSO would have a need in 2028 of 176 MW, 435 MW in 2029, and 1,131 MW in 2031.[8]

At the Hearing, Mr. Demmy went on to testify that since the filing of this Application, there have been additional customers who had LOAs that have since converted to a CES.[9] The aggregated load ramp schedule for these two new CES customers would be approximately 500

[3] Mossburg Responsive 17:5-18:2.
[4] Mossburg Responsive 18:4-8.
[5] Mossburg Responsive 23:10-16.
[6] Mossburg Responsive 20:1-21:2.
[7] 2/17/2026 Tr. 127:15-128:19.
[8] 2/18/2026 Tr. 128:13-23.
[9] 2/18/2026 Tr. 129:2-10.

MW in 2029 and 1,100 MW in 2031.[10] He testified that using Mr. Mossburg's analysis of only including customers who have signed a CES, and including the two additional customers since the filing of this Application, PSO will have approximately 1,000 MW of need in 2029.[11]

Mr. Mossburg agreed at the Hearing that the Commission should consider these two new customers who have converted their agreements from an LOA to a CES. He stated that he agreed that PSO would have an additional need considering the 1,100 MW of new potential CES customers.[12]

The ALJ recognizes the concerns when she states, "PSO's need for additional accredited capacity in this Case is predominantly based upon large load customers whose projects could potentially fail to come to fruition."

But then the ALJ sates "While the ALJ expresses concern regarding the potential for a future "bubble burst" resulting in stranded assets, substantial testimony and evidence have been provided in this Case to demonstrate that a need does indeed exist. The ALJ recommends that the Commission find that PSO has a need pursuant to 17 O.S. § 286(C)."

Aside from the "bubble burst", forecasting using "projects that could potentially fail to come to fruition" in a load forecast could result in possible stranded assets.

Additionally, the use of 50% capacity for those potential customers who have signed a LOA and 80% capacity based on those customers who have signed a CES is not based on any facts and apparently have been picked out of the air.

At the hearing, when asked if PSO uses a 50% capacity for those potential customers who have signed an LOA are doing it because PSO is not sure if the companies would come online, Mr. Horeled testified the exact opposite that in his role over the last seven years every single customer that has signed a letter of agreement have all converted to an electrical service contract.[13] Just because it hasn't happened yet does not mean that it will not occur in the future.

When asked if PSO was so positive then why doesn't it use an 80% capacity for those customers who have signed an LOA, Mr. Horeled testified that they could but felt it would be appropriate to be conservative.[14]

When asked if it would be more conservative to forecast those customers that have just signed a LOA at zero, Mr. Horeled testified that would be more conservative.[15]

When asked why a customer that signs a CES is only forecast at 80% versus 100%, Mr. Horeled testified that it could certainly be 100% but that is just PSO's conservative view.[16]

---

[10] 2/18/2026 Tr. 129:11-24.
[11] 2/18/2026 Tr. 130:7-131:1.
[12] 2/18/2026 Tr. 49:20-50:18.
[13] 2/17/2026 Tr. 124:6-25, 125:1-2.
[14] 2/17/2026 125:3-10.
[15] 2/17/2026 126:5-11.
[16] 2/17/2026 126:12-22.

That manner of forecasting is dangerous to ratepayers who bear all the risk. As stated above, forecasting using "projects that could potentially fail to come to fruition" in a load forecast could result in possible stranded assets. Additionally, allowing the overly heavy 50% to be used in the forecast creates an incentive to acquire more "potential customers" under an LOA in order to elevate the level of generation needed with no real consequence to the Company if that potential customer later does not sign a CES. Moreover, the availability of CWIP provides a disincentive for the utility to be prudent in its forecast.

At the Hearing, Mr. Mossburg testified that he agrees with PSO including CES customers in its forecast.[85] He also stated that he has no objection to PSO's use of only 80% of the capacity for CES customers in its load forecast.[86] Mr. Mossburg disagreed with PSO including customers who have signed an LOA, but not yet a CES, in its load forecast.[87] Rather than using 50% of the capacity for LOA customers in its forecast, Mr. Mossburg testified that PSO should include no customers in its forecast who have signed an LOA.[88]

For all of the reasons stated above, PUD respectfully requests that the Commission reject the finding in the ALJ Report paragraph 24 that the Commission finds that the Company's resource planning model of only including 50% capacity for loads that have a signed LOA, and 80% capacity for loads that have a signed CES to be reasonable. Instead, PUD would request that the Commission find that the Company's resource planning model only include 80% capacity for loads that have a signed CES to be reasonable.

Respectfully submitted,

s/Michael L. Velez
Michael L. Velez, OBA No. 19963
Oklahoma Corporation Commission
Deputy General Counsel
Office of General Counsel
P.O. Box 171
Oklahoma City, Oklahoma 73101-9918
Telephone: (405) 522-5930
Michael.Velez@occ.ok.gov

CERTIFICATE OF SERVICE

This is to certify that on the 13th day of April 2026, a true and correct copy of the above and foregoing *PUD's Exceptions to the ALJ Report* was electronically served via the Electronic Case Filing System to those on the Official Electronic Case Filing Service List, or via electronic mail to the following persons:

Jack P. Fite
9520 N. May Ave. Suite 211
Oklahoma City, Oklahoma 73120
jfite@wcgflaw.com

Lauren D. Willingham
AMERICAN ELECTRIC POWER SERVICE CORPORATION
9434 Cedar Lake Avenue
Oklahoma City, OK 73114
lwillingham@aep.com

Kenneth A. Tillotson
THOMPSON TILLOTSON PLLC
P.O. Box 54632
Oklahoma City, OK 73154
kenneth@ttfirm.com
Attorneys for Public Service Company of Oklahoma

Thomas P. Schroedter
HALL, ESTILL, HARDWICK, GABLE, GOLDEN & NELSON, P.C.
521 E. 2nd Street, Suite 1200
Tulsa, OK 74120
tschroedter@hallestill.com
Attorney for Oklahoma Industrial Energy Consumer

Deborah R. Thompson
THOMPSON TILLOTSON PLLC
P.O. Box 54632
Oklahoma City, Oklahoma 73154
deborah@ttfirm.com

Office of the Oklahoma Attorney General
Thomas L. Grossnicklaus
Ashley N. Youngblood
Justin Cullen
313 Northeast 21st Street
Oklahoma City, Oklahoma 73105
thomas.grossnicklaus@oag.ok.gov
ashley.youngblood@oag.ok.gov
justin.cullen@oag.ok.gov

J. David Jacobson
JACOBSON & LAASCH
212 East Second Street
Edmond, OK 73034
Jdj8788@aol.com
Attorney for the Petroleum Alliance of Oklahoma

Adam J. Singer
DERRYBERRY & NAIFEH, LLP
4800 N Lincoln Blvd.
Oklahoma City, OK 73105
asinger@derryberrylaw.com
Attorney for AARP

A. Chase Snodgrass
OKLAHOMA GAS & ELECTRIC CO.
321 N. Harvey Ave. M/C 300
Oklahoma City, OK 73102
snodgrcc@oge.com

Trevor Pemberton
PEMBERTON LAW GROUP, PLLC
600 N. Robinson Ave., Suite 308
Oklahoma City, OK 73102
trevor@pembertonlawgroup.com
Attorneys for Oklahoma Gas and Electric

Dustin R. Fredrick
Managing Attorney
OKLAHOMA NATURAL GAS COMPANY
401 North Harvey Avenue
Oklahoma City, Oklahoma 73102
dustin.fredrick@onegas.com
Attorneys for Oklahoma Natural Gas Company,
a Division of ONE Gas, Inc

Douglas D. Vernier
Douglas D. Vernier, Attorney at Law, P.C.
PO Box 32243
Oklahoma City, OK 73123
dvernier@vernierlawok.org
Attorney for International Brotherhood of Electrical Workers, Local 1002, AFL-CIO

Jim A. Roth
Eric Davis
Peter K. Wright
Phillips Murrah P.C.
424 NW 10th Street, Suite 300
Oklahoma City, OK 73101
jaroth@phillipsmurrah.com
cedavis@phillipsmurrah.com
pkwright@phillipsmurrah.com
Attorneys for Oklahoma Sustainability Network

Juliane Alexander

Juliane Alexander, Paralegal
OKLAHOMA CORPORATION COMMISSION